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8 UNITED STATES DISTRICT COURT
9 SOUTHERN DISTRICT OF CALIFORNIA

10 November 1984 Grand Jury

11 UNITED STATES OF AMERICA,)

12 Plaintiff,)

13 v.)

14 RICHARD P. SULLIVAN,
15 aka Rick Bradstreet,

16 Defendant.)

Criminal Case No. 86-0386-N

17 I N D I C T M E N T
18 (Superseding)

19 Title 21, U.S.C., Secs. 952, 960 and 963 -
20 Conspiracy to Import Controlled Substances;
21 Title 18, U.S.C., Sec. 201 - Official
22 Corruption; Title 18, U.S.C., Sec. 1014 -
23 False Statements in a Credit Application;
24 Title 18, U.S.C., Sec. 1001 - False
25 Statements to a Federal Agent; Title 31,
26 U.S.C., Secs. 5313 and 5322 - Failure to
27 File Currency Transaction Reports; Title 18,
28 U.S.C., Sec. 1001 - Concealing Material
Facts; Title 18, U.S.C., Sec. 2 -
Aiding and Abetting

21 The grand jury charges:

22 Count 1

23 Introductory Allegations

24 1. At all times relevant hereto, defendant RICHARD P. SULLIVAN, aka Rick
25 Bradstreet, was employed by the United States Customs Service in San Diego, California,
26 and charged with the enforcement of laws prohibiting the importation of marijuana into
27 the United States.

28 PLBH:mk:l:San Diego
06/15/86

1 2. At all times relevant hereto, Charles F. Jordan was the Station Chief of the
2 Customs Patrol Office in Key Largo, Florida. In that position, Jordan was responsible
3 for supervising, directing and assigning Customs patrol officers in an effort to detect,
4 intercept and prevent narcotics smuggling in South Florida.

5 3. At all times relevant hereto, Samuel O. Edwards was an ex-pilot with the
6 United States Customs Service who served in Florida with coconspirator Charles F.
7 Jordan.

8 4. At all times relevant hereto, Randy S. Fink was a trafficker in controlled
9 substances who conspired with Charles F. Jordan and Samuel O. Edwards.

10 The Conspiracy

11 5. Beginning at least as early as May 1981 and continuing up to and including
12 February 1986, within the Southern District of California and elsewhere, defendant
13 RICHARD P. SULLIVAN, aka Rick Bradstreet, did knowingly and willfully combine,
14 conspire and agree with coconspirators Charles F. Jordan, Samuel O. Edwards, Randy S.
15 Fink, and others, to knowingly and intentionally import marijuana, a Schedule I con-
16 trolled substance, into the United States; in violation of Title 21, United States Code,
17 Sections 952 and 960.

18 The Methods Of The Conspiracy

19 6. As part of the conspiracy, defendant RICHARD P. SULLIVAN, aka Rick
20 Bradstreet, would and did abuse his position with the United States Customs Service by
21 providing to his coconspirators confidential information and protection for the illicit
22 smuggling of marijuana into the Southern District of California.

23 7. As a further part of the conspiracy, Randy S. Fink would utilize information
24 furnished by defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, through Charles F.
25 Jordan and Samuel O. Edwards to safely fly a load of marijuana by airplane into the San
26 Diego, California area.

1 8. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
2 Rick Bradstreet, would and did abuse his position as a Special Agent with the United
3 States Customs Service by obtaining and sending aeronautical charts, which compromised
4 confidential law enforcement techniques, to Charles F. Jordan. These charts indicated,
5 among other things, safe smuggling routes in the Southwestern United States.

6 9. As a further part of the conspiracy, Charles F. Jordan would and did abuse his
7 position as a Supervisory Patrol Officer with the United States Customs Service by
8 giving the marked aeronautical charts, which compromised confidential law enforcement
9 techniques, to Samuel O. Edwards. Jordan would and did provide these charts to Edwards
10 so that he could arrange, with Fink, for the smuggling of marijuana into the San Diego,
11 California area.

12 10. As a further part of the conspiracy, a DC-6 airplane would be utilized to
13 smuggle approximately 15,000 to 20,000 pounds of marijuana into the Southwestern
14 United States.

15 11. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
16 Rick Bradstreet, would and did utilize fictitious names, aliases and "mail drops" to
17 receive hundreds of thousands of dollars in illegal cash proceeds sent by Charles F.
18 Jordan.

19 12. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
20 Rick Bradstreet, would and did purchase cashier's checks under \$10,000.00, utilize aliases
21 and false addresses, transact business in cash, and abuse his position as a Customs
22 Special Agent in an effort to circumvent the laws governing currency transaction
23 reporting regulations.

24 13. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
25 Rick Bradstreet, would and did utilize illegal cash proceeds sent to him by Charles F.
26 Jordan to build a house and purchase a lot in Bonita, California, in order to disguise the
27 source of their illegal funds.
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1 14. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
2 Rick Bradstreet, would and did provide false financial information to the United States
3 Customs Service in order to disguise the illegal nature and extent of his assets and
4 conceal the conspiracy.

5 15. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
6 Rick Bradstreet, would and did present fraudulent loan applications to disguise the illegal
7 nature and extent of his assets and conceal the conspiracy.

8 16. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
9 Rick Bradstreet, would and did make false, fictitious, and fraudulent statements and
10 representations to other Customs officials to disguise the nature and extent of his assets
11 and conceal the conspiracy.

12 17. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
13 Rick Bradstreet, and Charles F. Jordan would and did use paging devices ("beepers") to
14 frustrate law enforcement detection efforts.

15 18. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
16 Rick Bradstreet, would defraud the United States by depriving it of its right to the
17 conscientious, loyal, honest and unbiased services of its Customs personnel free from
18 corruption, willful omission, dishonesty, conflict of interest, misconduct and fraud.

19 19. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
20 Rick Bradstreet, would defraud the United States by frustrating and avoiding procedures
21 promulgated to control the importation of narcotic substances.

22 20. As a further part of the conspiracy, defendant RICHARD P. SULLIVAN, aka
23 Rick Bradstreet, would defraud the United States by impeding, impairing, obstructing
24 and defeating the lawful functions of the Department of the Treasury in conducting
25 criminal, tax and regulatory investigations and proceedings.

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OVERT ACTS

In furtherance of said conspiracy and to effect the objects thereof, the following overt acts, among others, were committed within the Southern District of California, unless otherwise noted:

1. In the summer of 1985, defendant RICHARD P. SULLIVAN sent marked aeronautical charts, which compromised confidential law enforcement techniques, to Charles F. Jordan in Florida.
2. In the summer of 1985, in Miami, Florida, Charles F. Jordan discussed the smuggling of controlled substances into the San Diego area with Samuel O. Edwards.
3. In the summer of 1985, in Miami, Florida, Samuel O. Edwards discussed the smuggling of controlled substances into the San Diego area with marijuana smuggler Randy S. Fink.
4. In August 1985, in Southern Florida, Charles F. Jordan sent defendant RICHARD P. SULLIVAN approximately \$160,000 in cash for the purchase of Bonita Ranch Unit, Lot 74, Bonita, California.
5. On or about August 16, 1985, defendant RICHARD P. SULLIVAN purchased a \$140,000 cashier's check.
6. On or about August 19, 1985, defendant RICHARD P. SULLIVAN purchased two \$9,300 cashier's checks using false addresses and the alias Rick Bradstreet.
7. On or about August 28, 1985, defendant RICHARD P. SULLIVAN set up a construction fund control agreement with Western of San Diego Fund Control, Inc. (hereinafter referred to as "Western Fund Control").
8. On or about September 28, 1985, defendant RICHARD P. SULLIVAN purchased an \$8,700 cashier's check payable to Western Fund Control using a false address and the alias Rick Bradstreet.

- 1 9. On or about September 26, 1985, defendant RICHARD P. SULLIVAN rented
2 safe deposit box number 169 in the name RICHARD P. SULLIVAN from the
3 Peninsula Bank of San Diego.
- 4 10. On or about September 26, 1985, defendant RICHARD P. SULLIVAN pre-
5 sented a fraudulent loan application at the Peninsula Bank Real Estate
6 Office, 1322 Scott Street, San Diego, California.
- 7 11. On or about October 11, 1985, defendant RICHARD P. SULLIVAN presented
8 a fraudulent loan application at the Grossmont Bank, 5550 Grossmont Center
9 Drive, La Mesa, California.
- 10 12. On or about October 21, 1985, defendant RICHARD P. SULLIVAN presented
11 a fraudulent contract at the Grossmont Bank, 5550 Grossmont Center Drive,
12 La Mesa, California.
- 13 13. On or about November 15, 1985, defendant RICHARD P. SULLIVAN con-
14 cealed his true financial situation when completing a Customs Financial
15 Disclosure Form.
- 16 14. On or about November 29, 1985, defendant RICHARD P. SULLIVAN con-
17 cealed his true financial situation when completing a Customs Financial
18 Disclosure Form.
- 19 15. On or about January 30, 1986, defendant RICHARD P. SULLIVAN made
20 numerous false statements in an interview with Special Agent Norm Rains.

21 All in violation of Title 21, United States Code, Sections 952, 960, and 963.
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Count 2

1. Paragraphs 1 through 4 and 6 through 20 of Count 1 are hereby realleged and incorporated by reference as if set forth in full herein.

2. Beginning at least as early as 1985 and continuing up to and including February 1986, within the Southern District of California and elsewhere, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, then a public official, did knowingly, willfully and corruptly seek, agree to receive and receive substantial sums of money in return for being influenced to aid, allow, and make opportunity for the commission of frauds on the United States; in violation of Title 18, United States Code, Section 201(b)(2)(b)

Count 3

On or about September 26, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, for the purpose of influencing the action of the Peninsula Bank of San Diego, 1331 Rosecrans Street, San Diego, California, the deposits of which were then insured by the Federal Deposit Insurance Corporation (FDIC), on an application for a construction loan, did knowingly make false statements in connection with the application, in that defendant represented that he possessed \$60,000 in cash which he received from his father; in violation of Title 18, United States Code, Section 1014.

Count 4

On or about September 26, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, for the purpose of influencing the action of the Peninsula Bank of San Diego, 1331 Rosecrans Street, San Diego, California, the deposits of which were then insured by the Federal Deposit Insurance Corporation (FDIC), on an application for a construction loan, did knowingly make false statements in connection with the application, in that defendant represented that he had:

1. \$60,000 in Western Fund Control account #05559-SU;
2. Not borrowed money from any source other than Mastercharge; and
3. No other financing, equity or debts,

All in violation of Title 18, United States Code, Section 1014.

Count 5

On or about October 11, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, for the purpose of influencing the action of the Grossmont Bank, 5550 Grossmont Center Drive, La Mesa, California, the deposits of which were then insured by the Federal Deposit Insurance Corporation (FDIC), on an application for a construction loan, did knowingly make false statements in connection with the application, in that defendant represented that he had:

1. \$60,000 in Western Fund Control account #05559-SU;
2. Not borrowed money from any source other than Mastercharge; and
3. No other financing, equity or debts,

All in violation of Title 18, United States Code, Section 1014.

Count 6

On or about October 21, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, for the purpose of influencing the action of the Grossmont Bank, 5550 Grossmont Center Drive, La Mesa, California, the deposits of which were then insured by the Federal Deposit Insurance Corporation (FDIC), on an application for a construction loan, did knowingly make false statements in connection with the application, in that defendant represented that:

1. He had hired contractor John Matkin to build a single-story residence on Lot 62, Wheeler Ridge Estates, Bonita, California;
2. All labor, material, tools and equipment for Lot 62 would be supplied by the contractor;
3. He was to pay the contractor \$150,000 for constructing the Wheeler Ridge residence; and
4. He would pay the contractor for the Wheeler Ridge in installments,

All in violation of Title 18, United States Code, Section 1014.

Count 7

On or about November 15, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, in a matter within the jurisdiction of the United States Customs Service, an agency and department of the United States, did knowingly and willfully make false, fictitious and fraudulent representations as to material facts when completing a Customs Financial Disclosure Form, in that defendant falsely represented that he:

1. Did not have, rent, or use, nor did any member of his family, any safe deposit boxes;
2. Had only \$4,900 in cash;
3. Had no debts, obligations or liabilities;
4. Had only \$182,000 in assets;
5. Did not have an account with Western Fund Control, 2745 Tidelands Avenue, National City, California;
6. Did not have an account with First Interstate Bank, 2209 Palomar Airport Road, Carlsbad, California; and
7. Did not have custody or control over more than \$1,000 in cash or other property which is owned by someone outside his immediate family,

All in violation of Title 18, United States Code, Section 1001.

Count 8

On or about November 29, 1985, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, in a matter within the jurisdiction of the United States Customs Service, an agency and department of the United States, did knowingly and willfully make false, fictitious and fraudulent representations as to material facts when completing a Customs Financial Disclosure Form, in that defendant falsely represented that he:

1. Did not have any cash, except \$5,200 in banks;
2. Had no debts, obligations or liabilities, other than a \$97,000 mortgage;
3. Had only \$120,400 in assets;
4. Did not have an account with Western Fund Control, 2745 Tidelands Avenue, National City, California;
5. Did not have an account with First Interstate Bank, 2209 Palomar Airport Road, Carlsbad, California; and
6. Did not have custody or control over more than \$1,000 in cash or other property which is owned by someone outside his immediate family,

All in violation of Title 18, United States Code, Section 1001.

1 in Title 31, United States Code, Section 5311, and Title 31, Code of Federal Regulations,
2 Section 103.21.

3 Count 9

4 1. Paragraphs 1 through 6 of the above introduction are hereby realleged and
5 incorporated by reference in Count 9 as if set forth in full herein.

6 2. On or about August 16, 1985, defendant RICHARD P. SULLIVAN, aka Rick
7 Bradstreet, a financial institution, did receive and have transferred to him approximately
8 \$140,000.00 in United States currency and did knowingly and willfully fail to file and
9 cause the failure to file of a Currency Transaction Report for such transaction with the
10 Internal Revenue Service within 15 days following the date on which such transaction
11 occurred; all in violation of Title 31, Code of Federal Regulations, Sections 103.22
12 and 103.25.

13 Count 10

14 1. Paragraphs 1 through 6 of the above introduction are hereby realleged and
15 incorporated by reference in Count 10 as if set forth in full herein.

16 2. On or about August 16, 1985, in the Southern District of California,
17 defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, did knowingly and willfully
18 cause the Bank of La Costa to make and use a false writing and document, knowng the
19 same to contain false, fictitious, and fraudulent statements and entries of material facts
20 in a matter within the jurisdiction of the Internal Revenue Service and the United States
21 Customs Service, of the Department of the Treasury, in that the defendant caused the
22 Bank of La Costa to prepare and file a Currency Transaction Report (CTR) containing
23 false identifications of the individual conducting the transaction and individual or
24 organization for whom the transaction was completed; all in violation of Title 18,
25 United States Code, Sections 1001 and 2.

Introduction To Counts 9 And 10

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2 1. In or around August 1985, defendant RICHARD P. SULLIVAN, aka Rick
3 Bradstreet, engaged in the business of and constituted a financial institution as defined
4 in Title 31, United States Code, Section 5312, and Title 31, Code of Federal Regulations,
5 Section 103.11, and as such engaged in the business of accepting and "laundering" funds
6 for coconspirator Charles F. Jordan.

7 2. During the times relevant hereto, the aforementioned financial institution
8 operated from diverse locations utilizing various names.

9 3. At all times relevant hereto, the Bank of La Costa was a financial institution
10 as defined in Title 31, United States Code, Section 5312, and Title 31, Code of Federal
11 Regulations, Section 103.11, and was a bank the deposits of which were then insured by
12 the Federal Deposit Insurance Corporation.

13 4. Pursuant to Title 31, United States Code, Section 5313, and Title 31, Code of
14 Federal Regulations, Section 103.25, at all times relevant hereto, each financial insti-
15 tution had to file a Currency Transaction Report of each deposit, withdrawal, exchange
16 of currency, or other payment or transfer by, through, or to such financial institution
17 which involved a transaction in currency of more than \$10,000.00. Such reports had to
18 be filed with the Commissioner of the Internal Revenue Service within 15 days following
19 the day on which the transaction occurred.

20 5. At all times relevant hereto, the Currency Transaction Reports were to be
21 filed with the Internal Revenue Service (IRS) on the form prescribed, that is, IRS
22 Form 4789, which required, among other things, the full identity and address of the
23 individual who conducted the transaction with the financial institution and the individual
24 or organization for whom the transaction was completed.

25 6. Currency Transaction Reports as previously described were required to be
26 made for use in criminal, tax, and regulatory investigations and proceedings, as set forth
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Counts 11 Through 23

1. Paragraphs 1 through 4 and paragraphs 6 through 17 of Count 1 are hereby realleged and incorporated by reference as if set forth in full herein.

2. On or about January 30, 1986, in the Southern District of California, defendant RICHARD P. SULLIVAN, aka Rick Bradstreet, in a matter within the jurisdiction of the United States Customs Service, an agency and department of the United States, did knowingly and willfully make false, fictitious and fraudulent statements and representations as to material facts as set forth below (Column A) to Special Agent Norman Rains, in that defendant stated that:

COUNT

COLUMN A

- | | | |
|----|----|---|
| 11 | 11 | He only had professional contact, not personal, with Charles Jordan; |
| 12 | 12 | Charles Jordan had never entrusted any monies or anything of value to his care, custody or control; |
| 13 | 13 | Charles Jordan had never asked him to participate in a business venture, transact business or act as his agent; |
| 14 | 14 | His Customs Financial Disclosure Form dated November 29, 1985, was correct; |
| 15 | 15 | He had not borrowed money from anyone except for his construction loan; |
| 16 | 16 | He had only put \$4,000 of his own money into the construction of his house; |
| 17 | 17 | He had not had a safe deposit box in the last six months; |
| 18 | 18 | He had used the alias Rick Bradstreet for approximately one year only in connection with the Louis Vuitton investigation; |
| 19 | 19 | He did not know whether Charles Jordan owned any property in California; |
| 20 | 20 | Charles Jordan had never sent him anything but smoked fish; |
| 21 | 21 | He never used the name Rick Bradstreet to purchase cashier's checks or conduct his or anyone else's transactions; |
| 22 | 22 | He borrowed \$10,000 from Charles F. Jordan; |

COUNT

COLUMN A

23

He borrowed \$10,000 from his brother, Jesse Foster, aka Robert Sullivan,

All in violation of Title 18, United States Code, Section 1001.

DATED: June 18, 1986.

A TRUE BILL:

Foreperson

PETER K. NUNEZ
United States Attorney

By:



PHILLIP L.B. HALPERN
Assistant U.S. Attorney